

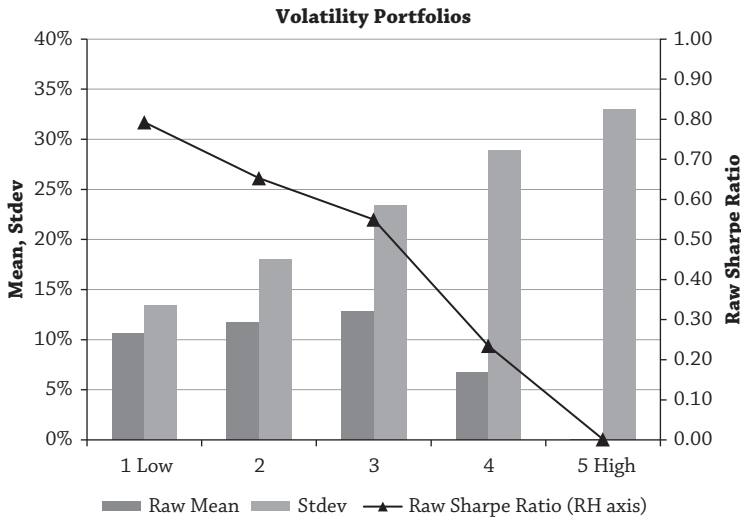


Figure 10.8

recorded how fast information is impounded into stock prices. Skewness did not explain the puzzle.

*Lagged Volatility and Future Returns*

To see the volatility anomaly, I take U.S. stocks, rebalance quarterly from September 1963 to December 2011, and form quintile portfolios. I construct monthly frequency returns. I sort on idiosyncratic volatility using the Fama–French (1993) factors with daily data over the past quarter. (Ranking on total volatility produces very similar results.) I market weight within each quintile similar to Ang et al. (2006, 2009).

In Figure 10.8, I report the mean and standard deviations of the quintile portfolios on the left-hand axis in the two bars. The volatilities increase going from the low- to high-volatility quintiles, by construction. The average returns are above 10% for the first three quintiles, fall to 6.8% for quintile 4, and then plummet to 0.1% for the highest volatility stocks. High volatility stocks certainly do have “abysmally low” returns. The right-hand axis reports raw Sharpe ratios, which are the ratios of the means to the standard deviations. These monotonically decline from 0.8 to 0.0 going from the low- to high-volatility quintiles.

*Contemporaneous Volatility and Returns*

Do stocks with high volatilities also have high returns over the same period used to measure those volatilities?

I examine this question in Figure 10.9 by forming portfolios at the end of the period based on realized idiosyncratic volatilities. I then measure realized returns over the same period. Note that these are not tradeable portfolios. Figure 10.9